The Indian Contract Act, 1872

Contract formation, consent, lawful agreements, performance and breach

PROJECT LEGAL REFERENCE DOCUMENT

Requested filename: contract_act.pdf

Prepared for project implementation / academic use | Reference date: 17 September 2026

Important use note

This project reference edition is prepared for software, AI, data, and academic-project implementation. It summarizes selected provisions and practical implementation implications. It is not an official certified copy, does not replace the current statute, subordinate legislation, notifications, case law, or professional legal advice.

Document metadata

Field	Value
Act number	9 of 1872
Enactment date	25 April 1872
Enforcement	1 September 1872
Primary ministry	Ministry of Law and Justice, Legislative Department
Official source	India Code
Source version used	India Code: A187209.pdf

Overview

The Indian Contract Act, 1872 defines and amends parts of Indian law relating to contracts. It covers proposal and acceptance, contractual capacity and consent, lawful object and consideration, void and voidable agreements, contingent contracts, performance, and consequences of breach. For a project, it is particularly useful for vendor agreements, software-development contracts, licensing, service agreements, SLAs, NDAs, and other commercial arrangements.

Selected provisions and project relevance

Section 2

Interpretation clause

Provides statutory definitions used throughout the Act, including concepts such as proposal, promise, consideration, agreement, and contract.

Sections 3-9

Communication, acceptance and revocation of proposals

These provisions govern how proposals, acceptance, revocation, and promises are communicated and understood. Digital contracting workflows should record timestamps, versions, parties, and the exact accepted terms.

Section 10

What agreements are contracts

States the principal conditions under which agreements become contracts, subject to other provisions. Project contracting should check enforceability requirements before relying on an agreement.

Sections 11-12

Competency and soundness of mind

These sections address who is competent to contract and the contractual standard concerning sound mind. Organizational signatories and authority should be identified clearly.

Sections 13-19A

Consent, free consent and related defects

The Act addresses consent and circumstances such as coercion, undue influence, fraud, and misrepresentation. Business processes should document clear approvals and avoid misleading or coercive contracting practices.

Section 23

Lawful consideration and object

Certain considerations and objects are treated as unlawful. Project agreements should be reviewed for prohibited purposes or clauses before implementation.

Section 27

Agreement in restraint of trade

The Act contains a rule concerning restraints of trade, subject to statutory exceptions and legal interpretation. Restrictions on vendors, developers, or users should be legally reviewed rather than copied from templates blindly.

Sections 73-75

Consequences of breach and related compensation

These provisions address compensation and related consequences following breach in specified circumstances. SLAs and contracts should define measurable obligations and remedies consistently with applicable law.

Project implementation checklist

1. Use a controlled contract template with parties, scope, deliverables, fees, acceptance criteria, confidentiality, IP ownership/licensing, security, and termination terms.

2. Record the exact version of terms accepted by each party, including date/time and approval identity.

3. Separate commercial contracts from technical specifications; cross-reference versioned specifications to avoid ambiguity.

4. Define service levels, incident response, maintenance, data handling, and breach notification responsibilities.

5. For software and AI projects, specify ownership or licence rights for source code, models, datasets, documentation, prompts, outputs, and third-party components as applicable.

6. Have material commercial clauses reviewed by qualified counsel before real-world execution.

Suggested RAG / search queries

"What makes an agreement a contract under Section 10?"

"What is free consent?"

"What is the difference between fraud and misrepresentation?"

"What does Section 23 address?"

"What remedies are discussed in Sections 73-75?"

Source and verification

Primary source: India Code, the official Government of India legislative information portal. The source used for this reference edition is listed below. Verify the latest consolidated text and all applicable amendments, rules, notifications, and judgments before real-world reliance.

https://www.indiacode.nic.in/bitstream/123456789/2187/2/A187209.pdf

Reference prepared on 17 September 2026.

Project note: These documents are designed to be easy to index in a document/RAG pipeline. The section labels, summaries, and implementation notes are intended to support retrieval and system demonstrations; the underlying statute remains the authoritative legal source.